

might owe (the lender isn't required to do this but may if asked).

- You may also be able to negotiate the specific terms of your obligation. For example, you may want to limit your liability only to the principal on the loan, and not include late charges, court costs, or attorney fees. In this case, ask the lender to include a statement in the contract similar to "The cosigner will be responsible only for the principle balance on this loan at the time of default."
- Ask the lender to agree, in writing, to notify you if the borrower misses a payment. That will give you time to deal with the problem or make back payments without having to repay the entire amount immediately.
- Make sure you get copies of all your important papers, such as the loan contract, the Truth-in-Lending Disclosure Statement, and any warranties. You may need these documents if there's a dispute between the borrower and the seller (the lender is not required to give you these papers; you may have to get copies from the borrower). Check your state law for additional cosigner rights.

*Source: Federal Trade Commission

Maria hadn't considered the responsibility of being a cosigner before she agreed to help her relatives. After they fled the country, Maria should have been honest with her family in the Philippines about the liabilities they had left her with. Maria didn't share this information with them, and therefore they assumed she was doing fine. If they would have known, maybe they could have persuaded her relatives who owed the money to assist Maria in paying off their responsibilities.

By contacting her creditors and explaining her situation, Maria was able to get some of her interest waived or reduced. Her monthly payments were then renegotiated to an amount

